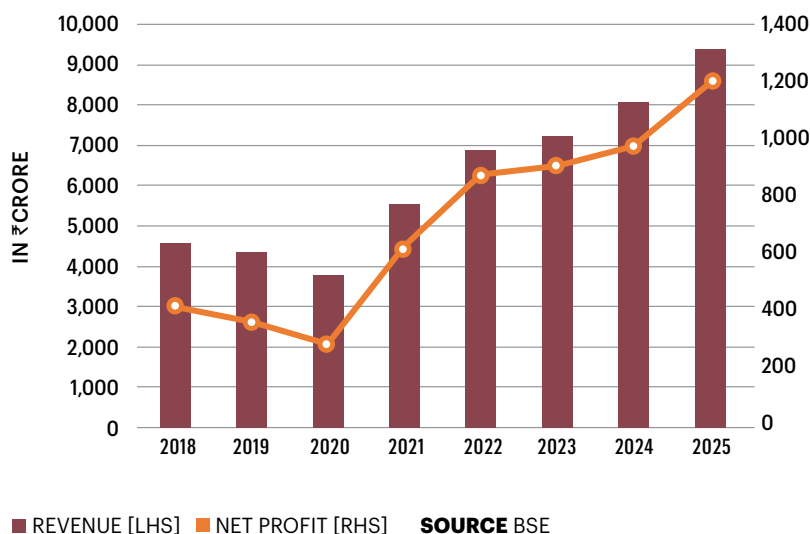


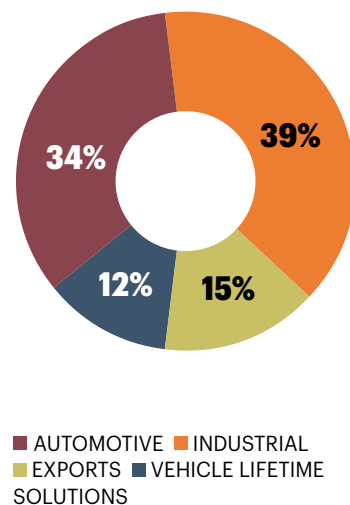
IN NUMBERS

- Baring a few hiccups during the Covid-19 pandemic, Schaeffler India has been growing consistently



HOW IT STACKS UP

- Schaeffler India operates in four key verticals



to offer electromechanical solutions,” says Kadam. Plus, it is expanding the aftermarket business, which has tripled its turnover since the acquisition.

This puts Schaeffler at an advantage over some competitors as it offers digital solutions and not just traditional auto components. “The ecosystem is set in place. We now need to leverage it to meet the needs of the Indian market and industry,” says Kadam. India contributes over €1 billion to global revenue.

The recent push towards infrastructure spending and the transition underway in the auto industry are expected to boost the India business. “The portfolio sits at the intersection of structural tailwinds: railway modernisation, renewable energy capacity addition, auto premiumisation, and gradual transition to hybrids or

EVs—all areas where the company has either a leadership position or a credible product road map,” says Raghunandhan NL, Executive Director of Nuvama Institutional Equities.

Another strategic choice is to operate at the peak of the pyramid. “Most automakers, whether Maruti, Tata Motors or Mahindra & Mahindra, are moving towards premiumisation, and this is a positive for Schaeffler,” says Choksey. The company could also benefit from India’s recently concluded free trade agreement with the European Union, which could help it export more to Germany and other markets on the continent.

In part, the emphasis on India can be seen as a derisking strategy against the recent geopolitical uncertainty. When the Ukraine war triggered high energy prices in

Europe, the company started sourcing more components from India. Inter-company exports contribute about 15% to the turnover.

“There was a realisation that India had the technical competency to take over some of the production lines, and the cost arbitrage helped,” says Kadam. Exports grew over 30% year-on-year in the first quarter of 2026 and are likely to remain robust. Additionally, the engineering team is driving innovation across verticals. “India is a key pillar in Schaeffler’s global R&D network,” says Vipparthi.

Last year, the company achieved 78% localisation across its portfolio. Almost 90% of its automotive portfolio is localised, while in the industrial and bearings business, the shift has been more gradual over the last six years (localisation is close to 80%).